

Cash flow from operations (CFO) is not in line with net income over time

Often, a company reports a lot of net profits. However, it might not be generating enough cash. The net profits are not being converted into cash flow. If profits are not converted into cash for a long period, it is a red flag. The possible reasons can be:

- ◇ The company might be over-reporting profits
- ◇ Working capital might be mismanaged

It might not always be manipulation; it might be due to operational issues as well. However, profits must be converted into cash flow. The net profit might not be in line with the cash flow for one or two years. However, if it continues over time (say 4-6 years), it indicates a problem that needs to be evaluated.

